

RegIntel — Compliance Gap Report

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Total gaps detected: **46**

#	Risk	Score	Regulator	Circular	Obligation Clause	Deadline	Recommended Remediation Action
1	Critical	100.0	RBI	—	In the preceding financial year, an RRB shall have: A net worth of ■100 crore or more as on March 31	as on March 31	Update capital adequacy, liquidity buffers, and assets ratio calculations/procedures. Target compliance window: as on March 31.
2	Critical	87.0	RBI	—	An RRB shall not individually contribute more than 10 percent of the corpus of an AIF Scheme.	—	Update capital adequacy, liquidity buffers, and assets ratio calculations/procedures.
3	Critical	87.0	RBI	—	The aggregate contribution by all Regulated Entities (REs) in any AIF Scheme shall not be more than 20 percent of the corpus of that scheme.	—	Update capital adequacy, liquidity buffers, and assets ratio calculations/procedures.
4	Critical	87.0	RBI	—	Where an RRB contributes more than five percent of the corpus of an AIF Scheme that has downstream investment... the RRB shall be required to make 100 percent provision...	—	Update capital adequacy, liquidity buffers, and assets ratio calculations/procedures.
5	Critical	87.0	RBI	—	Notwithstanding the provisions of paragraph 13, where a RE's contribution is in the form of subordinated units, it shall deduct the entire investment from its capital funds...	—	Update capital adequacy, liquidity buffers, and assets ratio calculations/procedures.
6	Critical	87.0	RBI	—	In the preceding financial year, an RRB shall have: A Capital to Risk-Weighted Assets Ratio (CRAR) of not less than nine percent	—	Update capital adequacy, liquidity buffers, and assets ratio calculations/procedures.
7	Critical	87.0	RBI	—	In the preceding financial year, an RRB shall have: Net NPAs below five percent.	—	Update capital adequacy, liquidity buffers, and assets ratio calculations/procedures.
8	Critical	85.0	RBI	—	Statement for the half year ended March / September (to be submitted by 10th of following month)	by 10th of following month	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator. Target compliance window: by 10th of following month.
9	Critical	82.0	RBI	—	An RRB shall comply with the extant KYC / AML guidelines in respect of the applicants.	—	Update KYC/AML policy, verification checklists, and client onboarding systems to align with this requirement.
10	Critical	75.0	RBI	—	An RRB shall report the details of the tie-up, together with a copy of the agreement entered into with the Mutual Fund, to concerned Regional Office of RBI within a period of ten days from the date of entering into the arrangement.	within a period of ten days from the date of entering into the arrangement	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator. Target compliance window: within a period of ten days from the date of entering into the arrangement.

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11	Critical	75.0	RBI	—	an RRB shall submit a report to the concerned Regional Office of RBI within 15 days from the date of commencement of the insurance agency business.	within 15 days from the date of commencement of the insurance agency business.	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator. Target compliance window: within 15 days from the date of commencement of the insurance agency business.
12	Critical	75.0	RBI	—	An RRB shall inform the respective Regional Office of RBI within a period of 15 days from the date of operationalising the merchant acquisition business.	within a period of 15 days from the date of operationalising the merchant acquisition business.	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator. Target compliance window: within a period of 15 days from the date of operationalising the merchant acquisition business.
13	High	72.0	RBI	—	An RRB shall submit the requisite information directly to the Department of Payment and Settlement Systems (DPSS), Central Office, RBI, as per the format and instructions provided in the Annex II.	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
14	High	67.0	RBI	—	The purchase of MF units shall be at the risk of customers and the RRB shall not guarantee any assured return.	—	Incorporate disclosure items into the bank's public website disclosures, annual reports, or investor packs.
15	High	67.0	RBI	—	An RRB shall clearly state this in all publicity material distributed by them, in a prominent manner.	—	Incorporate disclosure items into the bank's public website disclosures, annual reports, or investor packs.
16	High	67.0	RBI	—	Under the referral arrangement, an RRB shall provide physical infrastructure within its branch premises to insurance companies for selling their insurance products to the RRB's customers with adequate disclosure and transparency	—	Incorporate disclosure items into the bank's public website disclosures, annual reports, or investor packs.
17	High	67.0	RBI	—	This must be clearly stated in all promotional and publicity material issued by it.	—	Incorporate disclosure items into the bank's public website disclosures, annual reports, or investor packs.
18	High	67.0	RBI	—	an RRB shall, in order to ensure transparency and to protect the interest of customers, mandatorily disclose to customers the details of all commissions, fees, or any other form of remuneration received	—	Incorporate disclosure items into the bank's public website disclosures, annual reports, or investor packs.
19	High	65.0	RBI	—	The initial agreement shall be for a period not exceeding three (3) years	not exceeding three (3) years	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation. Target compliance window: not exceeding three (3) years.
20	High	62.0	RBI	—	The Board of a RRB shall consider and approve any proposal to undertake marketing of mutual fund units as an agent as prescribed in paragraph 18.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
21	High	62.0	RBI	—	The Board of a RRB desirous of undertaking insurance business as a corporate agent without risk participation shall pass a resolution approving the proposal to that effect.	—	Amend Board and committee charter documents, appoint process owners, and update management training.

#	Risk	Score	Regulator	Circular	Obligation Clause	Deadline	Recommended Remediation Action
22	High	62.0	RBI	—	The Board shall approve a policy on merchant acquisition for card transactions as prescribed in clause (2) of paragraph 27.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
23	High	62.0	RBI	—	An RRB's investment policy shall have suitable provisions governing its investments in an AIF Scheme, compliant with extant law and regulations.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
24	High	62.0	RBI	—	An RRB holding custody of MF units on behalf of their customers shall ensure that its own investment and investments belonging to their customers are kept distinct from each other.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
25	High	62.0	RBI	—	An RRB shall put in place adequate and effective control mechanisms in consultation with its sponsor bank.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
26	High	62.0	RBI	—	An RRB desirous of entering into referral arrangement, in addition to complying with IRDAI regulations, shall enter into a formal agreement with the concerned insurance company to permit use of the RRB's premises	—	Amend Board and committee charter documents, appoint process owners, and update management training.
27	High	62.0	RBI	—	Upon completion of the initial period, an RRB may enter into a longer-term contract subject to Board approval.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
28	High	62.0	RBI	—	An RRB shall ensure availability of necessary infrastructure for application development, transaction safety and security, and effective handling of customer grievances.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
29	High	62.0	RBI	—	A customer grievance redressal mechanism, duly approved by the Board, shall be in place.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
30	High	62.0	RBI	—	An RRB shall put in place policy approved by the Board on merchant acquisition for card transactions.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
31	High	55.0	RBI	—	RRB's Information Technology (IT) systems and Core Banking Solution (CBS) shall have undergone an Information Systems (IS) Audit within a period not exceeding six months prior to the date of application	within a period not exceeding six months prior to the date of application	Amend Board and committee charter documents, appoint process owners, and update management training. Target compliance window: within a period not exceeding six months prior to the date of application.
32	Medium	52.0	RBI	—	An RRB shall only act as an agent of the customers, forwarding applications of the investors for purchase / sale of MF units to the Mutual Fund / Registrar / Transfer Agents.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
33	Medium	52.0	RBI	—	An RRB shall neither acquire such units of Mutual Fund from the secondary market nor buy back units of Mutual Funds from their customers.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.

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34	Medium	52.0	RBI	—	An RRB shall confine retailing of units of Mutual Funds to branches.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
35	Medium	52.0	RBI	—	An RRB should comply with the Insurance Regulatory and Development Authority of India (IRDAI) regulations for acting as 'composite corporate agent'.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
36	Medium	52.0	RBI	—	An RRB should not adopt any restrictive practice of forcing its customers to purchase insurance products of a particular insurance company in respect of assets financed by it.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
37	Medium	52.0	RBI	—	The risks, if any, arising from insurance business should not get transferred to the business of the RRB.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
38	Medium	52.0	RBI	—	There should be no 'linkage' either direct or indirect between the provision of banking services offered by the RRB to its customers and use of the insurance products.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
39	Medium	52.0	RBI	—	An RRB shall comply with the relevant IRDAI regulations applicable to referral arrangements with insurance companies.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
40	Medium	52.0	RBI	—	An RRB shall not adopt any restrictive practice of compelling customers to opt for a specific insurance company, particularly in respect of assets financed by the RRB.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
41	Medium	52.0	RBI	—	There shall be no direct or indirect linkage between the provision of banking services and the availing of insurance products.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
42	Medium	52.0	RBI	—	Any risk associated with the referral arrangement shall not be transferred to the business of an RRB.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
43	Medium	52.0	RBI	—	An RRB shall have obtained prior permission from the RBI for offering mobile banking services.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
44	Medium	52.0	RBI	—	An RRB shall not have been subjected to any penalty imposed in the last two financial years.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
45	Medium	52.0	RBI	—	An RRB intending to act as merchant acquiring bank for POS terminals shall be permitted to deploy its own POS devices, subject to compliance with the conditions set out under paragraph 27	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
46	Medium	52.0	RBI	—	an RRB shall ensure strict compliance with the instructions and guidelines issued by the Department of Payment and Settlement Systems (DPSS), Central Office, RBI on Merchant Acquisition for card transactions and POS	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.